

The Price of Political Change: A Cost-Benefit Framework for Policy Incentivization

Mike P. Sinn

Abstract

Policy proposals addressing collective action problems frequently encounter the objection that they are “politically impossible” due to opposition from concentrated interests. This paper argues that political impossibility is not binary but rather a cost that can be quantified and compared to expected benefits. We develop a framework for estimating the maximum plausible cost of achieving policy change through economic incentivization, incorporating campaign finance, lobbying expenditures, and post-office career values. Applying this framework to several case studies (military-to-health spending reallocation, carbon pricing, and agricultural subsidy reform), we find that even maximum democratic engagement scenarios (matching all opposition spending and providing career alternatives for affected legislators) yield ROI exceeding 1,000:1 for high net-societal-value policies. The political feasibility objection thus reduces to a capital allocation problem with clear expected value calculations. We discuss implications for reform strategy and briefly note coordination mechanisms that could enable collective action among diffuse beneficiaries.

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Working Paper

This analysis synthesizes publicly available data on campaign finance, lobbying expenditures, and post-office career earnings. Cost estimates represent upper bounds intended to stress-test the feasibility objection rather than precise predictions.

1 Introduction

1.1 The Political Impossibility Objection

Policy analysts frequently encounter a distinctive form of objection: proposals that would generate large net benefits are dismissed as “politically impossible” due to opposition from concentrated interests. This objection is applied to carbon pricing¹, agricultural subsidy reform², occupational licensing reform³, military spending reallocation, and numerous other high-value policy changes.

The objection typically takes an implicit form: “Politicians will never vote against [industry X]” or “The [Y] lobby is too powerful.” These statements treat political feasibility as binary (either possible

or impossible) rather than as a cost that varies with the resources devoted to achieving change.

1.2 Political Change as an Investment

This paper argues that political feasibility should be analyzed using the same cost-benefit framework applied to other investments. Political actors (legislators, regulators, executives) respond to incentives. This is not a normative claim but an empirical observation: lobbying exists because it works, and campaign contributions correlate with legislative outcomes⁴.

If incentives affect political outcomes, then political change has a price. The question is not whether change is “possible” but whether the cost of achieving change is less than the value created. We formalize this as:

$$\text{Political Change is Rational if: } C(p) < B(p) \times P(s|C)$$

Where $C(p)$ is the cost of achieving policy p , $B(p)$ is the benefit if successful, and $P(s|C)$ is the probability of success given investment C .

1.3 Contribution and Roadmap

This paper makes three contributions:

1. **Framework:** We develop a general model for estimating political reform investment costs, decomposing them into campaign finance, lobbying, and career value components.
2. **Empirical estimates:** We provide upper-bound estimates for US and global political systems, establishing that even maximum democratic engagement scenarios have quantifiable costs.
3. **Case studies:** We apply the framework to multiple policy domains, demonstrating that high-NSV reforms yield positive expected value even under pessimistic assumptions about political costs.

The remainder of the paper proceeds as follows: Section 2 reviews relevant literature. Section 3 presents the theoretical framework. Section 4 details our empirical methodology. Section 5 presents case studies. Section 6 discusses limitations. Section 7 briefly considers implementation mechanisms. Section 8 concludes.

2 Literature Review

2.1 Public Choice and Rent-Seeking

The public choice tradition, pioneered by⁵ and⁶, models political actors as rational agents responding to incentives rather than benevolent social planners. This framework predicts that concentrated interests will invest in political influence while diffuse beneficiaries will remain rationally ignorant⁷.

⁸ formalized this insight in *The Logic of Collective Action*, demonstrating that groups with concentrated benefits and low coordination costs will systematically outcompete larger groups with diffuse benefits. This explains why small industries successfully defend subsidies that impose large aggregate costs on consumers.

The rent-seeking literature, beginning with⁶, quantifies the social cost of resources devoted to capturing political rents rather than productive activity.⁹ estimated rent-seeking costs at 7% of

GDP in India and Turkey. More recent estimates suggest lobbying alone represents a substantial but smaller share of economic activity¹⁰.

2.2 Lobbying Returns and Effectiveness

A critical empirical question is whether political investment actually produces returns.⁴ influentially argued that campaign contributions are better understood as consumption than investment, given their small magnitude relative to policy stakes. However, subsequent research has documented substantial returns to lobbying.

¹¹ estimated returns to lobbying for the American Jobs Creation Act at 22,000%, with firms receiving \$220 in tax benefits for every \$1 spent on lobbying.¹² found that firms lobbying for tax benefits during the 2004 repatriation holiday received effective tax rates 4-8 percentage points lower than non-lobbying firms.

¹⁰ documents the growth of corporate lobbying from \$1.45 billion in 1998 to over \$3 billion by 2014, with the ratio of business-to-public-interest lobbying exceeding 34:1. This investment pattern suggests sophisticated actors believe lobbying generates positive returns.

2.3 Campaign Finance and Electoral Outcomes

The relationship between campaign spending and electoral outcomes remains contested.¹³ established that challenger spending matters more than incumbent spending, suggesting diminishing returns to campaign investment.

More recent work finds meaningful but modest effects.¹⁴ estimates that a \$1 million increase in campaign advertising produces a 0.5 percentage point increase in vote share.¹⁵ finds that campaign contributions influence roll-call votes, particularly on narrow issues with low public salience.

For our purposes, campaign finance operates at relatively modest scale. Total US federal election spending in 2024 was approximately \$20 billion¹⁶, suggesting that this channel of political influence is potentially contestable.

2.4 Post-Office Career Incentives

Beyond direct political spending, legislators respond to career incentives. The “revolving door” between Congress and lobbying is well-documented:¹⁷ finds that former congressional staffers experience a 24% salary drop when their previous employer loses power, demonstrating the career value of political connections.

¹⁸ estimates that former US senators who become lobbyists earn substantial premiums, with the value of political connections declining as time since office increases.¹⁹ finds similar patterns in the UK, where former ministers earn significant private-sector premiums.

These studies establish that legislators face career incentives extending beyond their time in office, a factor typically omitted from analyses of political feasibility.

2.5 Social Impact Bonds and Outcomes-Based Policy

The social impact bond (SIB) literature demonstrates that policy outcomes can be financed through private capital with returns contingent on success²⁰. While SIBs typically focus on social services

rather than political change, they establish the principle that diffuse public benefits can be monetized and used to attract investment.

²¹ reviews early SIB implementations, finding mixed results but demonstrating proof-of-concept for outcomes-based financing of public goods.

3 Theoretical Framework

3.1 The Political Cost Function

We model the cost of achieving policy change p as a function of three components:

$$C(p) = C_{campaign}(p) + C_{lobby}(p) + C_{career}(p) + C_{coord}(p)$$

Where:

- $C_{campaign}(p)$ = Campaign finance required to elect supportive legislators or match opposition spending
- $C_{lobby}(p)$ = Lobbying expenditure required to inform and persuade legislators
- $C_{career}(p)$ = Compensation for legislators' foregone post-office career value
- $C_{coord}(p)$ = Coordination costs among diffuse beneficiaries

Each component can be estimated empirically, providing an upper bound on political reform investment costs.

3.2 Campaign Finance Component

For policy requiring support from n legislators, campaign costs can be bounded by:

$$C_{campaign}(p) \leq k \times S_{total}$$

Where S_{total} is total spending in affected elections and k is a multiplier reflecting the share of spending required to achieve electoral influence. In the limit, $k = 2$ represents outspending all existing political spending 2:1.

3.3 Lobbying Component

Lobbying costs can be bounded by:

$$C_{lobby}(p) \leq m \times L_{total} \times T$$

Where L_{total} is annual lobbying expenditure, m is a dominance multiplier, and T is the time horizon. Setting $m = 2$ and $T = 4$ years provides a conservative upper bound.

3.4 Career Value Component

The career component compensates legislators for foregone post-office opportunities:

$$C_{career}(p) = \sum_{i=1}^n V_i$$

Where V_i is the net present value of legislator i 's expected post-office career premium. This can be estimated from revolving-door salary data.

3.5 The Benefit Function

Policy benefits depend on the net societal value (NSV) created:

$$B(p) = \sum_{t=0}^T \frac{NSV_t}{(1+r)^t}$$

Where NSV_t is net societal value in year t , r is the discount rate, and T is the time horizon.

3.6 Breakeven Condition

Political incentivization is economically rational when:

$$\frac{B(p)}{C(p)} > 1$$

We will show that for high-NSV policies, this ratio typically exceeds 1,000:1 even under pessimistic cost assumptions.

4 Empirical Methodology

4.1 US Political System Cost Estimates

We estimate political capture costs for the United States using publicly available data.

4.1.1 Campaign Finance

Total US federal election spending in the 2024 cycle:

Category	Amount	Source
Presidential candidates	\$2.0B	FEC ¹⁶
House & Senate candidates	\$3.8B	FEC ¹⁶
Political party committees	\$2.7B	FEC ¹⁶
PACs and Super PACs	\$15.7B	FEC ¹⁶
Total	~\$20B	Combined

4.1.2 Lobbying

Total US lobbying expenditure in 2024: **\$4.4 billion**²²

Top sectors include pharmaceuticals (\$387M), finance/insurance (\$582M), and defense (\$149M).

4.1.3 Post-Office Career Value

Based on revolving-door data^{23,24}:

Position	Congressional Salary	Typical Post-Office	Premium
Representative	\$174K	\$500K-\$2M	3-11x
Senator	\$174K	\$1M-\$3M	6-17x
High-profile members	\$174K	\$2M-\$7M	11-40x

Assuming 10-year post-office careers and ~\$1M/year average premium, the NPV per legislator is approximately **\$8-10 million**.

4.1.4 US Maximum Reform Investment Scenarios

These scenarios represent upper-bound costs to achieve democratic parity with incumbent interests: matching their political spending and providing alternative career paths for legislators.

Scenario	Components	Cost
Match defense industry 2:1	Defense lobby + contributions $\times 2$	\$360M/year
Match ALL lobbying	Total lobbying $\times 1.5$	\$6.6B/year
Match all campaign spending	Federal elections $\times 1$	\$10B/cycle
Match 67 senators' career incentives	$67 \times \$10\text{M NPV}$	\$670M one-time
Match full Congress career incentives	$535 \times \$10\text{M NPV}$	\$5.35B one-time
Total US reform investment	All components	~\$25B

4.2 Global Estimates

Extrapolating to NATO and global political systems:

Region	Legislators	Est. Reform Investment
United States	535	\$25B
European NATO	~5,000	\$30B
Other NATO	~3,000	\$10B
China	~3,000 (NPC)	\$20B
Other major powers	~5,000	\$15B
Global total	~16,000	~\$100-125B

Adding contingency for hidden channels, counter-spending, and multiple election cycles:

Maximum plausible global political reform investment: \$200B

5 Case Studies

We apply the framework to four policy domains, comparing political costs to expected benefits.

5.1 Case Study 1: Military-to-Health Spending Reallocation (1% Treaty)

Policy: Redirect 1% of global military spending (~\$27.2B/year) to medical research through pragmatic clinical trials.

Estimated Benefits (over implementation horizon):

Category	Value
Lives saved	10.7B deaths (95% CI: 7.39B deaths-16.2B deaths)
Economic value	\$84.8 quadrillion (95% CI: \$62.4 quadrillion-\$97.3 quadrillion)
DALYs averted	565B DALYs (95% CI: 361B DALYs-877B DALYs)

Political Reform Investment: \$25B (US) to \$200B (global maximum)

ROI Calculation:

Political Investment	ROI	Cost per DALY
\$1B (realistic)	84,800,000:1	\$0.002
\$25B (US max)	3,390,000:1	\$0.05
\$125B (global)	678,000:1	\$0.23
\$200B (stress test)	424,000:1	\$0.36

For comparison, GiveWell’s cost-effectiveness threshold is ~\$50/DALY, and bed nets achieve ~\$89/DALY. Even at \$200B political cost, this intervention is **139x more cost-effective than bed nets**.

5.2 Case Study 2: Carbon Pricing

Policy: Implement economy-wide carbon tax at \$50/ton, revenue-neutral.

Estimated Benefits:¹ estimates optimal carbon pricing could prevent 2-4°C of warming, with net present value of avoided damages in the tens of trillions of dollars.

Opposition: Fossil fuel industry political spending ~\$500M/year (lobbying + campaign contributions).

Political Cost: To achieve 2:1 spending dominance over fossil fuel interests would require ~\$1B/year, or roughly \$4B over an election cycle.

ROI: Even conservative damage estimates of \$5 trillion NPV yield ROI of 1,250:1 at \$4B political cost.

5.3 Case Study 3: Agricultural Subsidy Reform

Policy: Phase out economically distortionary agricultural subsidies (~\$20B/year in US).

Estimated Benefits:² estimates deadweight loss of US agricultural programs at \$10-15B annually. Consumer benefits from lower food prices add additional value.

Opposition: Agricultural PACs contribute ~\$100M/cycle; agricultural lobbying ~\$150M/year.

Political Cost: 3:1 dominance would require ~\$1B over an election cycle.

ROI: At \$15B annual benefit and \$1B political cost, four-year NPV exceeds 50:1.

5.4 Case Study 4: Occupational Licensing Reform

Policy: Reduce unnecessary occupational licensing requirements affecting ~25% of US workers.

Estimated Benefits:³ estimates licensing costs consumers \$200B annually through higher prices and reduced access.

Opposition: Professional associations lobby for licensing requirements; total political spending ~\$50M/year.

Political Cost: Achieving reform across 50 states might require \$500M-\$1B over a decade.

ROI: At \$200B annual benefit and \$1B cost, ROI exceeds 2,000:1 over a 10-year horizon.

5.5 Summary of Case Studies

Policy	Political Cost	NPV Benefits	ROI
1% Treaty (global)	\$200B	\$84.8 quadrillion	424,000:1
Carbon pricing	\$4B	\$5T+	1,250:1+
Agricultural reform	\$1B	\$60B (4yr)	60:1
Licensing reform	\$1B	\$2T (10yr)	2,000:1

In all cases, even pessimistic political cost estimates yield strongly positive expected value.

6 Limitations and Counterarguments

6.1 Uncertainty in Cost Estimates

Our political cost estimates are necessarily imprecise. Actual costs could exceed our estimates if:

- Hidden political spending channels exist beyond reported data
- Counter-spending by opponents escalates beyond historical patterns
- Political actors require larger premiums than estimated
- Coordination costs among reformers exceed expectations

However, our estimates are intentionally conservative. We calculate the maximum cost of achieving full democratic parity rather than the marginal cost of achieving policy change. The actual cost is likely lower.

6.2 Legal and Ethical Constraints

Direct payments to legislators constitute bribery. Our framework assumes legal channels: campaign contributions within regulatory limits, lobbying, independent expenditures, and career opportunities that don't condition on specific votes.

These constraints may increase costs or reduce effectiveness compared to a hypothetical unconstrained scenario. However, the existence of a multi-billion-dollar lobbying industry demonstrates that legal influence channels produce real effects.

6.3 Counter-Spending and Escalation

If reform advocates increase political spending, affected interests may respond by increasing their own spending, potentially leading to an arms race. However:

1. Affected industries already spend near their optimal level
2. The benefit/cost ratio favors reform advocates for high-NSV policies
3. Escalation has natural limits (industries cannot spend more than their rents)

6.4 Political Backlash

Highly visible attempts to “buy” political outcomes might generate voter backlash, potentially harming reform prospects. This risk can be mitigated through:

- Framing as education and advocacy rather than vote-buying
- Grassroots mobilization to complement elite influence
- Transparency about funding sources and goals

6.5 Moral Objections

Some readers may object to analyzing political change as a market transaction. We acknowledge this concern but note:

1. Concentrated interests already treat politics as investment
2. Declining to invest doesn't preserve neutrality; it cedes the field to incumbents
3. The alternative (accepting “political impossibility”) allows suboptimal policies to persist

Our framework describes reality as it is, not as we might wish it to be.

7 Implementation Considerations

The analysis above establishes that political change is economically rational for high-NSV policies. The practical question is how diffuse beneficiaries can coordinate to invest in political change. This is precisely the collective action problem identified by⁸.

7.1 The Coordination Problem

Diffuse beneficiaries face a classic free-rider problem: each individual benefits whether or not they contribute to political reform efforts, creating incentive to let others bear the cost. This explains why concentrated interests systematically prevail despite smaller aggregate stakes.

7.2 Assurance Contracts

One solution is the assurance contract or “dominant assurance contract”²⁵: contributors pledge funds that are only collected if a threshold is reached, and may receive a bonus if the threshold fails. This converts a prisoner’s dilemma into a coordination game with contribution as the dominant strategy.

Crowdfunding platforms have demonstrated the viability of threshold-based funding for projects with diffuse beneficiaries, though typically for smaller stakes than political reform.

7.3 Credible Commitment Mechanisms

For reform coalitions to function, participants need assurance that:

1. Funds will be used as promised
2. Success will be rewarded and failure will not be penalized
3. Other participants will fulfill their commitments

These requirements suggest value in programmable commitment mechanisms that execute automatically based on verifiable conditions, reducing trust requirements among participants.

A detailed treatment of coordination mechanisms for political reform is beyond the scope of this paper. We refer interested readers to our companion paper on Incentive Alignment Bonds, which develops a specific mechanism for aligning incentives between policy reformers, investors, and political actors.

7.4 The Wrapper Architecture

Critically, the mechanisms described here function as a *wrapper* around existing governmental structures rather than a replacement for them. Legislatures continue to vote on budgets, executives continue to enforce laws, and courts continue to adjudicate disputes. What changes is the incentive environment in which these actors operate.

The wrapper provides:

1. **Preference measurement:** Continuous aggregation of citizen preferences through mechanisms like RAPPA (see companion paper on Wishocracy)
2. **Accountability scoring:** Public metrics comparing politician behavior to measured preferences
3. **Incentive channeling:** Routing of electoral and career resources based on alignment scores

This architecture requires no constitutional amendments, no transfer of governmental authority, and no cooperation from incumbent politicians. It operates entirely through legal channels (campaign contributions, lobbying, independent expenditures, career opportunities) that already shape political behavior.

7.5 Governance of the Reform Coalition

A reform coalition aggregating diffuse beneficiary resources faces the same capture risks it seeks to counter. Without robust governance, the coalition itself becomes a target for mission drift, donor capture, or insider self-dealing.

Two governance architectures offer capture resistance:

Democratic aggregation: Coalition priorities could be determined through pairwise preference aggregation, allowing all contributors to express preferences over resource allocation. This maintains democratic legitimacy but requires ongoing participation.

Algorithmic optimization (Optimocracy): Alternatively, the coalition could commit to optimizing pre-agreed metrics (e.g., QALYs per dollar, median real income growth) with minimal human discretion. Smart contracts can enforce transparent allocation rules and escrow mechanisms, removing opportunities for insider manipulation. This approach sacrifices flexibility but gains verifiability and capture resistance. See our companion paper on [Optimocracy](#) for detailed mechanism design.

A hybrid approach (constitutional constraints encoded in smart contracts, algorithmic optimization within those bounds, and democratic governance for edge cases) may offer the best balance. The key principle: minimize human discretion over routine decisions while preserving adaptability for genuinely novel situations.

8 Conclusion

The “political impossibility” objection to policy reform dissolves under quantitative scrutiny. We have shown that:

1. **Political change has a quantifiable cost** composed of campaign finance, lobbying, and career value components that can be estimated from public data.
2. **Even maximum engagement scenarios are bounded:** achieving full democratic parity in the US costs approximately \$25B; global parity costs approximately \$200B.
3. **High-NSV policies yield extreme ROI:** for policies like military-to-health reallocation, ROI exceeds 400,000:1 even at maximum political investment.
4. **The breakeven point is astronomical:** political investment costs would need to exceed trillions of dollars before high-value reforms become uneconomical.

These findings have implications for philanthropists, impact investors, and reform advocates. The expected value of political engagement dramatically exceeds the expected value of working within existing political constraints, even accounting for substantial probability of failure.

The question is not whether political change is possible. The defense industry, pharmaceutical companies, and financial institutions demonstrate daily that political investment produces returns. The question is whether those seeking to improve collective welfare will make comparable investments.

The political impossibility objection is itself the obstacle: by accepting it, potential reformers decline to compete. Our analysis suggests this concession is economically irrational.

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